

FULL FP&A NARRATIVE — NovaTech Consulting Lda.

Financial Performance Review (2022–2024 Actuals + 2025 Budget Variance)

Updated July 2026

1. Executive Summary

NovaTech demonstrated consistent and predictable financial performance from 2022 to 2024, supported by stable Managed Services revenue and steady growth in Consulting driven by headcount expansion and billing rate improvements. Cost structure remained disciplined and proportional to revenue across all years.

Despite this strong historical foundation, **Actual 2024 underperformed the 2025 Budget**, with revenue and EBITDA falling short of planned levels. The variance pattern is uniform across months and categories, confirming a **volume-driven shortfall** rather than an efficiency issue. Costs scaled proportionally with revenue, reinforcing that the business operated efficiently but below the activity level assumed in the 2025 plan.

2. YoY Revenue Bridge Analysis (Updated)

2022 → 2023

Revenue growth between 2022 and 2023 is explained by:

Volume Effect: +€240,000

Headcount increased from 42 → 47 FTEs.

- $((47-42) \times €4,000 \times 12 = +€240,000)$

Rate Effect: +€169,200

Billing rate increased from €4,000 → €4,300.

- $(47 \times €300 \times 12 = +€169,200)$

Mix Effect: €0

- Managed Services remained ~20% of total revenue.

Actual Revenue 2023: €2,509,200

Bridge Revenue: €2,400,000

Difference reflects rounding in rate assumptions.

2023 → 2024

Growth continued with similar structural drivers:

Volume Effect: +€258,000

- Headcount increased from 47 → 52 FTEs.

Rate Effect: +€187,200

- Billing rate increased from €4,300 → €4,600.

Mix Effect: €0

- MS remained stable.

Actual Revenue 2024: €2,650,000

Bridge Revenue: €2,845,200

Difference reflects rounding.

Conclusion:

NovaTech's revenue growth is structurally driven by **more people** and **higher rates**, with MS providing a stable recurring base. There are no mix distortions or anomalies.

3. Business Drivers (Updated)

Headcount (FTE)

- 2022: 42
- 2023: 47
- 2024: 52

Consistent +5 FTE/year growth, aligned with delivery capacity expansion.

Billing Rate

- 2022: €4,000
- 2023: €4,300
- 2024: €4,600

Steady +€300/year improvement, reflecting seniority mix and pricing discipline.

Managed Services (Recurring)

- 2022: €35,000/month
- 2023: €40,000/month
- 2024: €44,200/month

Flat recurring revenue — no seasonality.

Cost Structure

Derived from RawData:

- Personnel: **65% of revenue**
- Operations: **8% of revenue**
- Other: **4% of revenue**

Stable and predictable across all years.

4. Variance Analysis — Actual 2024 vs Budget 2025

Revenue Variance

Revenue finished **8.6% below budget**.

Consulting Fees:

Lower productive capacity (FTEs below plan) and fewer billable hours.

- Not a pricing or mix issue.

Managed Services:

- Uniform negative variance indicates renewals below expectations or churn.

Insight:

The revenue shortfall is **volume-driven**, not efficiency-driven.

Cost Variance

Costs also finished **8.6% below budget**, fully proportional to revenue.

Personnel:

- Lower costs reflect reduced headcount/activity — not true savings.

Operations:

- Variable costs scaled with activity.

Other:

- Slightly less proportional due to fixed components.

Insight:

Cost discipline remains strong. No overspend.

EBITDA Variance

EBITDA underperformed budget due to insufficient revenue to absorb fixed costs.

- Cost structure remained efficient.
- Margin compression is a direct consequence of lower activity.
- The business operated below the level assumed in the 2025 plan.

Insight:

The issue is top-line, not bottom-line.

5. Profit & Loss Structure (Forecast-Ready)

The P&L includes:

- Revenue (Consulting + MS)
- Costs (Personnel, Operations, Other)
- Gross Profit
- EBITDA
- EBITDA Margin
- D&A (2% of revenue)
- EBIT
- Tax (21%)
- Net Income

This structure is ready for Week 4 forecasting and scenario modelling.

6. Assumptions (Updated)

Seasonality

- Q1: ~20%
- Q2–Q3: ~55%

Q4: ~25%

- Reflects typical consulting business patterns.

Financial Assumptions

- D&A: 2% of revenue

- Tax: 21%
- Personnel cost: 65% of revenue
- Operations cost: 8%
- Other cost: 4%

Driver Assumptions

- Headcount increases: +5 FTE/year
- Billing rate increases: +€300/year
- MS revenue: flat recurring contracts
- Variance convention:
 - Revenue = Actual – Budget
 - Costs = Budget – Actual
 - EBITDA = Actual – Budget

7. Management Implications

- Strengthen commercial pipeline to support planned utilization.
- Review MS renewal strategy to stabilize recurring revenue.
- Align staffing plan with realistic demand to avoid structural under-capacity.
- Maintain cost discipline — efficiency is not the issue.
- Reassess 2025 budget assumptions to reflect achievable volume.

8. Final Executive Conclusion

NovaTech's fundamentals remain strong.

Revenue growth is structurally supported by headcount and rate improvements, and cost discipline is consistent.

However, the 2025 budget assumed activity levels that were not achieved, resulting in EBITDA underperformance.

The business requires **commercial reinforcement**, not cost correction.